UNITECH
HALF YEARLY PERFORMANCE & DEVELOPMENT REPORT 2023

UNITECH

SINCE 1978
40+ YEARS OF EXPERIENCE

MAIN TOPIC
IN THE REPORT

STRATEGIC PRICE INCREASE TO REACH BETTER GROSS

EFFECTS ANTICIPATED:

- Loosing Customers who are Price Oriented
- Lowering down the risk of Bad Debts and A/R Provisions
- Lesser Account Receivable to manage
- Effective Communication with Customers

INTRODUCING SOLUTION PROVIDING PRODUCTS

EFFECTS ANTICIPATED:

- Barriers to Entry
- Increase Customer Satisfaction
- Better Profit Margings
- Drive Business Growth

STRENGTHENING ADVANCE MANUFACTURING & INNOVATION CAPABILITIES

EFFECTS ANTICIPATED:

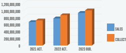
- Competitive Advantage
- Enhanced Product Quality and Customization
- Increased Efficiency and Cost Savings
- Accelerated Product Development

COLLECT HIGHER THAN SALES

EFFECTS ANTICIPATED:

- Positively Impact Cash Flow
- Reduced Outstanding Receivables
- Increase Liquidity
- Improve Working Capital Management
- Positive Financial Performance

SALES VS. COLLECTION



** ALL FIGURES IN SAUDI RIYALS.

RESULTS
SALES, GROSS & COLLECTION

YEAR 2021, 2022 & 2023 ACTUAL & BUDGETS

					AS OF JUNE	
		2021 ACT.	2022 ACT.	2023 BUD.	2022 ACT.	2023 ACT.
UNITECH A	SALES	371,696,359	476,690,728	572,495,200	231,543,785	235,209,678
	GROSS	87,539,203	110,983,484	135,170,727	51,809,901	60,854,475
	COLLECTION	409,991,420	551,896,430	627,000,000	255,781,225	257,655,000
UNITECH B	SALES	302,407,572	299,869,341	321,221,000	156,645,020	130,953,867
	GROSS	65,825,515	64,548,932	72,564,371	33,365,177	33,674,142
	COLLECTION	309,224,012	317,365,208	378,281,113	158,332,465	138,140,174
TOTAL A + B	SALES	674,103,932	776,559,069	893,716,200	388,188,806	366,163,545
	GROSS	153,364,718	175,532,415	207,735,098	85,175,078	94,528,617
	COLLECTION	719,215,432	869,261,639	1,005,281,113	414,113,690	395,795,174
SFSP ALL	SALES	260,625,776	326,639,765	322,520,000	176,303,941	162,647,307
	GROSS	44,126,315	38,351,143	49,243,906	18,496,907	22,291,082
TOSL	SALES	229,201,893	287,852,347	302,000,000	134,325,832	114,390,875
	GROSS	14,717,780	18,791,708	20,000,000	8,484,956	8,963,073
GRAND TOTAL	SALES	674,103,932	776,559,069	893,716,200	388,188,806	366,163,545
	GROSS	212,208,812	232,675,266	276,979,004	112,156,942	125,782,772
	COLLECTION	719,215,432	869,261,639	1,005,281,113	414,113,690	395,795,174

** ALL FIGURES IN SAUDI RIYALS.

RESULTS
SALES, GROSS & COLLECTION

AVERAGE PER MONTH REPORT (2020 TO 2023)

	UNITECH | SALES OPERATIONS			
	SALES	GROSS	GP%	COLLEC.
RESULTS 2019	734,075,813	166,915,317	22.74	751,098,736
AVG. / MONTH	61,172,984	13,909,610	22.74	62,591,561
RESULTS 2020	631,887,214	148,177,814	23.45	657,646,932
AVG. / MONTH	52,657,268	12,348,151	23.45	54,803,911
RESULTS 2021	673,568,048	152,863,379	22.69	719,215,432
AVG. / MONTH	56,130,671	12,738,615	22.69	59,934,619
RESULTS 2022	776,559,069	175,532,415	22.60	869,261,639
AVG. / MONTH	64,713,256	14,627,701	22.60	72,438,470
RESULTS 2023	366,163,545	94,528,617	25.82	395,795,174
AVG. / MONTH	61,027,258	15,754,770	25.82	65,965,862

As of June

Based on our Strategy for 2023/24, our primary focus lies on increasing Gross Profit Generation and improving our Collection efforts. We have observed favorable outcomes in terms of monthly Gross Profit generation in 2023 compared to the previous year, indicating positive progress.

However, we are fully aware of the pressing need to proactively enhance our collections process and ensure timely payments from our valued customers. Notably, the Credit Control Department at Unitech A has played a commendable role in contributing to the success of our collections efforts.

Building upon this achievement, we have taken a significant step forward by establishing a dedicated credit control department at Unitech UAE to reinforce our collections efforts and maintain a robust cash flow.

** ALL FIGURES IN SAUDI RIYALS.

RESULTS
SALES, GROSS & COLLECTION

PER CAPITA ANALYSIS | SALES OPERATIONS (2020 TO 2023)

			ACTUALS			PER CAPITA | SALES EXECUTIVES			PER CAPITA | TOTAL STAFF		
	SALES EXE.	TOTAL STAFF	SALES	GROSS	COLLEC.	SALES	GROSS	COLLEC.	SALES	GROSS	COLLEC.
YEAR 2019	209	731	734,075,813	166,915,317	751,098,736	3,512,324	798,638	3,593,774	1,004,208	228,338	1,027,495
YEAR 2020	183	672	631,887,214	148,177,814	657,646,932	3,452,936	809,715	3,593,699	940,308	220,503	978,641
YEAR 2021	186	661	674,103,932	153,364,718	719,215,432	3,621,334	824,541	3,866,750	1,019,824	232,019	1,088,072
YEAR 2022	187	633	776,559,069	175,532,415	869,261,639	4,152,722	938,676	4,648,458	1,226,792	277,302	1,373,241
YEAR 2023 BUD.	180	637	893,716,200	207,735,098	1,005,281,113	4,965,090	1,154,084	5,584,895	1,403,008	326,115	1,578,149

The Per Capita Report represents an average amount per person and is commonly utilized as a substitute for "per person" in statistical analysis.

During 2022, there was substantial progress in all aspects of Sales Operations, including Sales, Gross, and Collection. Notably, both Per Capita Sales Staff and Per Capita Support Staff showed significant improvement. This positive trend has extended into 2023, continuing the upward trajectory of improvement.

** ALL FIGURES IN SAUDI RIYALS.

PRODUCT DEVELOPMENT
SALES & GROSS

EXISTING PRODUCT VS. NEW PRODUCTS UPDATE (2019 TO 2023)

	YEAR 2019 | RESULTS		YEAR 2020 | RESULTS		YEAR 2021 | RESULTS		YEAR 2022 | RESULTS		YEAR 2023 | BUDGETS	
	SALES	GROSS	SALES	GROSS	SALES	GROSS	SALES	GROSS	SALES	GROSS
EXISTING PRODUCTS	724,612,294	177,220,705	598,886,351	156,086,920	625,374,951	153,456,736	674,849,121	160,875,667	749,257,839	170,084,966
NEW PRODUCTS	9,387,683	2,743,027	32,843,655	9,376,354	47,456,689	16,032,240	96,578,881	28,230,149	137,125,910	36,265,850
TOTAL	733,999,977	179,963,732	631,730,006	165,463,274	672,831,641	169,488,976	771,428,002	189,105,816	886,383,749	206,350,816
% FROM THE TOTAL										
EXISTING PRODUCTS	98.72 %	98.48 %	94.80 %	94.33 %	92.95 %	90.54 %	87.48 %	85.07 %	84.53 %	82.43 %
NEW PRODUCTS	1.28 %	1.52 %	5.20 %	5.67 %	7.05 %	9.46 %	12.52 %	14.93 %	15.47 %	17.57 %

The report presented above highlights the progress of New Product Development within Unitech Sales Operations by comparing the Existing Vs. New Product Range.

In 2019, the contribution of New products to Sales was merely 1.28% and to Gross was 1.52% of the total revenues. However, in the year 2022, significant growth was observed, with new products accounting for 12.52% of Sales and 14.93% of Gross from the total revenues.

Looking ahead to 2023, it is projected that new products will make up approximately 15.47% of Sales and 17.57% of Gross from the total revenues. Furthermore, by the end of 2025, the goal is to achieve even greater success, with new products expected to contribute to more than 30% of both Sales and Gross from the total revenues.

** ALL FIGURES IN SAUDI RIYALS.

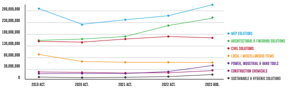
PRODUCT DEVELOPMENT
MAJOR CATEGORIES

SALES BY MAJOR CATEGORIES (2020 TO 2023)

	2019 ACT.	2020 ACT.	2021 ACT.	2022 ACT.	2023 BUD.
MEP SOLUTIONS	290,294,943	222,944,089	237,238,835	254,015,318	308,005,849
ARCHITECTURAL & FINISHING SOLUTIONS	153,961,688	158,698,094	171,933,446	221,238,650	255,892,602
CIVIL SOLUTIONS	156,874,365	139,565,035	158,734,051	174,628,719	169,276,716
LOCAL / MISCELLANEOUS ITEMS	93,046,082	69,981,257	64,371,691	64,322,910	60,510,557
POWER, INDUSTRIAL & HAND TOOLS	17,610,461	18,325,506	18,079,758	25,863,208	48,797,648
CONSTRUCTION CHEMICALS	21,250,289	21,537,428	19,750,066	22,097,673	27,488,683
SUSTAINABLE & HYGIENIC SOLUTIONS	962,150	678,597	2,723,794	9,261,524	16,411,694
GRAND TOTAL	733,999,977	631,730,006	672,831,641	771,428,002	886,383,749

** ALL FIGURES IN SAUDI RIYALS.

SALES BY MAJOR CATEGORIES (2020 TO 2023) | GRAPH



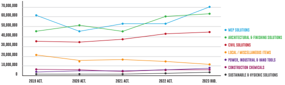
PRODUCT DEVELOPMENT
MAJOR CATEGORIES

GROSS BY MAJOR CATEGORIES (2020 TO 2023)

	2019 ACT.	2020 ACT.	2021 ACT.	2022 ACT.	2023 BUD.
MEP SOLUTIONS	62,960,402	49,539,373	54,807,453	54,276,314	71,439,148
ARCHITECTURAL & FINISHING SOLUTIONS	45,646,612	52,307,087	49,021,154	61,160,638	65,479,314
CIVIL SOLUTIONS	37,519,680	35,521,810	38,498,385	43,727,568	44,588,786
LOCAL / MISCELLANEOUS ITEMS	22,441,809	16,407,766	17,361,478	16,132,983	12,900,970
POWER, INDUSTRIAL & HAND TOOLS	4,681,484	5,128,214	4,915,550	6,337,768	9,055,800
CONSTRUCTION CHEMICALS	6,454,335	6,348,016	4,594,483	6,214,257	6,228,323
SUSTAINABLE & HYGIENIC SOLUTIONS	259,410	211,006	290,472	1,256,286	2,691,747
GRAND TOTAL	179,963,732	165,463,274	169,488,976	189,105,816	212,384,089

GROSS BY MAJOR CATEGORIES (2020 TO 2023) | GRAPH

** ALL FIGURES IN SAUDI RIYALS.



FRP/GRP PRODUCTS

FRP (Fiber Reinforced Plastic) or GRP (Glass Reinforced Plastic) products play a significant role in the oil and gas sector due to their unique properties and advantages. These composite materials are composed of a polymer matrix reinforced with fibers, usually glass, carbon, or aramid. Here are some of the applications of FRP/GRP products we are working for the oil and gas industry:

Offshore Platforms:
FRP/GRP materials are used in the construction of offshore platforms and structures due to their resistance to saltwater corrosion. They provide a lightweight and durable solution for platforms, walkways, and handrails.

Gratings and Covers:
FRP/GRP gratings and covers are used as flooring solutions in offshore platforms and refineries. They are non-conductive, resistant to chemicals, and offer high strength while being lightweight.

Cable Trays and Ladders:
FRP/GRP cable trays and ladders are used for cable management in harsh environments, such as onshore and offshore oil rigs. They offer electrical insulation, corrosion resistance, and are relatively easy to install.

Overall, the use of FRP/GRP products in the oil and gas sector offers several advantages, including corrosion resistance, lightweight construction, low maintenance requirements, and extended service life.

These benefits make FRP/GRP an appealing choice for various applications in the challenging and harsh environments typical of the oil and gas industry.

INTECH

Website: https://www.intralinktechno.com/
Country of Origin: Malaysia
Target Market: All Unitech Branches
Unitech Product Category: MEP Solutions

Range of Interest:

- FRP/GRP Cable Trays
- FRP/GRP Cable Ladders
- FRP Pultruded & Molded Grating
- FRP Structural Profiles
- FRP Hand Rails & Ladders

Unitech has entered into an Exclusive Manufacturing, Marketing & Distribution Partnership Agreement with Intech. To ensure a seamless collaboration, Intech conducted comprehensive training sessions for all branches of Unitech.

In the month of May, the Unitech team visited Intech's production facility in Malaysia to inspect their operations and conduct a Live Load Test, which aimed to meet the stringent ARAMCO Standards. An ARAMCO auditor was present during the Live Load Tests, and the results demonstrated compliance with both NEMA 20 C and ARAMCO SAES - P-104 Specifications. Additionally, the ARAMCO Singapore Office Auditor carried out Documentational Requirements & Compliance tests at the INTECH Facility, and all necessary documentation was successfully provided to the Auditor within the specified timeframe.

Additional to this, we have devised and presented an extensive localization plan to ARAMCO, aiming to secure the 9com number for the FRP Cable Management System. It is anticipated that we shall receive our 9com number soon before the end of 2023. This commitment showcases our commitment to meeting ARAMCO's requirements and reinforces our position in the market. For more information on this development:

Please Download | Localization Plan
Please Download | FRP Master Catalogue

STEEL DOOR (FEROX)

FEROX

Website: Under Development
Production Base: SFSP UAE & Egypt
Target Market: All Unitech Branches

We will initiate the production of steel doors (FEROX) in the UAE. Additionally, we plan to have the doors Epoxy Powder Coated externally. This step will bolster our presence in the UAE market and strengthen our product offerings. Upon the completion of the New SFSP Plant in Egypt, we will commence the production of steel doors in Egypt as well. Simultaneously, the powder coating facility will be activated to enhance the finish of our products.

All the orders for Steel Doors from KSA will be serviced from the SFSP Egypt Facility, If we face any issues with Saudi Made then we see the possibility initiating production of Steel Doors in KSA, if not then we will carry on servicing the KSA market from Egypt. This setup is in place to take our money out of Egypt and at the same time we will cater to the Egyptian and the African Construction Market that is growing rapidly.

MANUFACTURING BRIEF

The steel door manufacturing business involves the production of doors made primarily from steel or steel-based materials. These doors are known for their durability, strength, and resistance to various elements, making them a popular choice in a wide range of applications. Let's delve into the key aspects of the steel door manufacturing business and its intended market or industry.

THE PROCESS

The manufacturing process for steel doors typically involves cutting, shaping, and welding steel sheets or frames. The doors may be further reinforced with additional materials, such as insulation or fireproofing elements. The finishing process includes coating the doors with paint or other protective coatings to enhance their appearance and resistance to corrosion.

TYPES OF STEEL DOORS

- Security Doors
- Fire-Rated Doors
- Commercial and Industrial Doors
- Residential Doors

INTENDED MARKET / INDUSTRY

The intended market or industry for the steel door manufacturing business can be diverse, depending on the types of doors produced. Some key target markets include:

Construction Industry:
Steel doors are a crucial component in the construction of commercial, industrial, and residential buildings. They are used for main entrances, exits, interior doors, and more.

Architectural Projects:
Architects and designers often specify steel doors for specific projects, especially when durability, security, and aesthetics are essential requirements.

Security and Defense:
The security door segment serves various industries that prioritize safeguarding assets, such as banks, data centers, government buildings, and military facilities.

Industrial and Warehousing:
Steel doors are widely used in factories, warehouses, and distribution centers, where robust and reliable access control is necessary.

Residential Market:
Steel entry doors are popular choices for homeowners seeking enhanced security and energy efficiency.

STEEL DOOR (FEROX)

FEROX

COMPETITIVE LANDSCAPE

The steel door manufacturing industry is highly competitive, with several players offering different types of doors and catering to various markets. Key factors that contribute to a company's competitiveness include product quality, innovation, price, distribution network, customer service, and ability to meet specific project requirements.

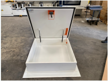
CHALLENGES AND OPPORTUNITIES

The steel door manufacturing business may face challenges related to raw material costs, technological advancements, changing customer preferences, and compliance with safety and quality standards. However, there are also opportunities for growth, such as expanding into new markets, introducing eco-friendly doors and adopting advanced manufacturing techniques.

In summary, the steel door manufacturing business plays a crucial role in providing durable, secure, and functional doors for various industries and applications. The intended market or industry for this business can range from construction and architecture to security, defense, and residential sectors.

To thrive in this competitive landscape, we need to focus on product quality, innovation, and meeting the diverse needs of our target markets.

MOCKUP SAMPLE OF ROOF HATCH



CONTRACT MANUFACTURING (SFSP FACILITIES)

Contract manufacturing provides several benefits for the manufacturer, making it an attractive business model for many companies. Here are some of the key advantages for the manufacturer:

Steady Revenue Stream:
Contract manufacturing often involves long-term agreements with clients, leading to a stable and predictable revenue stream. This stability will allows us as manufacturers to plan production, resource allocation, and financial investments more effectively.

Optimal Use of Production Capacity:
With Contract manufacturing we can leverage our production capacity more efficiently by serving multiple clients and producing a diverse range of products. This reduces the risk of idle machinery or underutilized facilities, maximizing the return on investment in production infrastructure.

Economies of Scale:
By producing for multiple clients, we can achieve economies of scale, leading to lower production costs. Bulk purchasing of raw materials and efficient production processes can result in cost savings, improving our profitability.

Diversification of Risks:
Working with multiple clients and producing a variety of products can help us diversify our risks. If demand decreases for one product or industry, the impact on the overall business is mitigated by the presence of other clients and products.

Access to New Markets and Industries:
This will enable us to enter new markets and industries. This expansion can open up new growth opportunities and reduce dependence on specific markets.

Increased Expertise and Knowledge:
Serving different clients and industries will expose us to diverse technologies, production methods, and industry standards. This accumulation of knowledge will enhance our expertise and makes us more attractive to the potential clients.

Innovation and R&D Collaboration:
Working with multiple clients often involves collaboration on product development and improvement. This exchange of ideas and knowledge fosters innovation and will lead to advancements in our production capabilities.

Enhanced Financial Stability:
The steady revenue and diversified client base can contribute to the financial stability. This stability may improve our ability to obtain financing for expansion or capital investments.

Professional Relationships:
Building successful relationships with clients can lead to repeat business and positive word-of-mouth referrals, further enhancing SFSP's reputation and market position.

Competitive Advantage:
A well-established contract manufacturing facility servicing clients like Saint Gobain & Thrislington can gain a competitive advantage in the market. This reputation can attract more clients and opportunities for growth.

In summary, contract manufacturing offers SFSP numerous benefits, including a steady revenue stream, economies of scale, diversification of risks, access to new markets, and opportunities for innovation and collaboration.

BUSINESS DEVELOPMENT
CONTRACT MANUFACTURING

GYPROC (SAINT GOBAIN)

Website: https://www.gyproc.ae/
Country of Origin: UAE
Target Market: Saudi Arabia
Unitech Product Category: Architectural & Finishing Solution

We have successfully initiated the production of all metal requirements for Saint-Gobain in Saudi Arabia, signifying a significant milestone in our collaboration. The success of this venture has inspired us to take the next strategic step and expand our production capabilities to the United Arab Emirates (UAE) and Egypt.

THRISLINGTON CUBICALS

Website: https://www.thrislingtoncubicles.com/
Country of Origin: UK
Target Market: MENA Region
Unitech Product Category: Architectural & Finishing Solution

Since the 1960s, they have been manufacturing toilet cubicles at their UK-based factory. Currently, we are in the initial phase of discussions, and if all goes smoothly, we will establish a partnership to produce toilet partitions for them in the MENA region.

BUSINESS DEVELOPMENT
EXPORT DEPARTMENT

We had developed an export department in 2021 that was geared towards facilitating the expansion of SFSP Manufactured products and services into international markets.

Following are the products that were shortlisted for the Export Dept.:

1. Nexus Product Range
    - Expansion Joints
    - Entrance Matting
    - Technical Profiles
2. PIXEL Raised Access Flooring
3. Garbage Chute & Accessories

We recruited an Export Manager in the first week of December 2022 to initiate an assessment of the following areas:

Export Readiness Assessment:
The Export Manager evaluated our company's preparedness to venture into international markets. This included an analysis of production capacity, financial resources, supply chain capabilities, and the ability to meet international quality and safety standards. We aimed to ensure that our products or services were suitable for export and could effectively compete in the target markets.

Regulatory Compliance:
Extensive research was conducted to understand the export regulations and requirements. We identified the necessary export documentation, customs procedures, tariffs, and trade barriers that we needed to comply with. Meeting international trade regulations was crucial for our successful exporting endeavors.

Cultivate Relationships:
The Export Manager's primary responsibility was to establish connections with international distributors, agents, and partners who could assist us in navigating the complexities of the target markets. These local partners could offer valuable insights, market knowledge, and access to distribution networks. However, this relationship-building process faced some delays.

Establish Export Logistics:
We are fortunate to already have a well-established Export Logistics team (TOSL) with expertise in timely product delivery to international customers. The team can efficiently handle shipping, transportation, warehousing, and customs clearance.

Monitor and Measure Performance:
Throughout the process, we consistently monitored the performance of our export manager. Over time, it became evident that the individual we hired lacked the necessary expertise in international business, market research, sales, logistics, and regulatory compliance. This person struggled to grasp the intricacies of international trade and failed to drive export growth. Regrettably, we had to part ways with this employee in May 2023 due to performance-related concerns.

However, we remain optimistic about finding a candidate who will be well-suited for the role. We firmly believe in the quality of our offerings and the potential success of our export department if the right person is leading the effort. With the correct approach and a capable individual on board, we are confident in achieving our export objectives and expanding our presence in international markets.

Target Area 01 African Countries	Target Area 02 Middle East & Asia	Target Area 03 Southeast Asia	Target Area 04 Europe
Algeria	Iraq	Singapore	Cyprus
Morocco	Azerbaijan	Malaysia	Bulgaria
Tunisia	Armenia	Thailand	Italy
Ivory Coast	Uzbekistan	Vietnam	Spain
Nigeria	Kazakhstan		United Kingdom
Kenya	Kyrgyzstan		Denmark
Ethiopia			Sweden
South Africa			

NEW DEPARTMENTS & BUSINESS UNITS

CREDIT CONTROL DEPT. IN UNITECH UAE

The aim is to establish a credit control department within Unitech UAE, modeled after the successful credit control department in Unitech A.

The primary goal of this department is to optimize the collection process and proactively monitor accounts to prevent delinquencies. It will involve persistent efforts in following up with clients to avoid the need for Accounts Receivable (A/R) provisions.

Additionally, the department will maintain regular communication with appointed legal representatives to initiate court actions against businesses that fail to make payments. Apart from this the credit control department is responsible for the following activities aimed at managing and optimizing the credit and collections process:

- Customer Credit Evaluation
- Establishing Credit Limits
- Monitoring Accounts Receivable
- Collections and Follow-Up
- Dispute Resolution
- Cash Flow Management
- Reporting and Analysis

By efficiently managing these activities, the credit control department will help safeguard the Unitech's financial health and contribute to a smooth and stable cash flow.

INTERNAL AUDIT DEPT. IN UNITECH

We have decided to establish the Internal Audit Department in Unitech B for several compelling reasons, including:

- Ensuring Compliance and Governance
- Detecting and Preventing Fraud
- Driving Process Improvement
- Enhancing Internal Controls
- Enabling Continuous Monitoring

The presence of an Internal Audit department signifies Unitech B's dedication to upholding elevated levels of corporate governance and accountability.

Ultimately, the establishment of this department contributes significantly to the organization's efficient and effective management, offering valuable insights and ensuring operations are conducted with integrity, transparency, and adherence to established standards and regulations.

For more information on development of this department:

Please Download | Interim Internal Audit Plan & Procedures
Please Download | Internal Audit Checklist (Updated)

NEW DEPARTMENTS & BUSINESS UNITS

CEILING, PARTITION & DOORS DIVISION (CPD) IN KSA

In response to the rapidly evolving market in KSA, we have opted for a targeted strategy to enhance the sales of specific products. Similar to our successful approach in UAE, we have established a dedicated division called the "Ceiling & Partition Division" (CPD) in KSA, effective from 23 May 2023.

This division will focus on promoting and selling the following products:

- Gypsum Systems and Accessories
- Acoustic Ceilings
- Metal Ceilings
- Various Steel Doors
- Access Panels and Roof Hatches

The primary objective of this division is to provide comprehensive technical and commercial support to our sales operations, with the aim of maximizing our market share by boosting sales of these particular products.

By doing so, we strive to optimize profits and deliver the highest quality of both pre-sales and post-sales services to our valued customers.

TECHNICAL DEPARTMENT IN UNITECH EGYPT

A technical office has been established to provide comprehensive support to Unimetal & Beta Contech Divisions. The team consists of 6 Engineers and 1 foreman, who handle project execution, follow-ups, and the preparation and submission of technical submittals/shop drawings for approvals.

This dedicated team operates with the professionalism of a contracting company, taking responsibility for client invoices based on the completed work and directly managing the collection process.

Their project portfolio includes contracts worth 248,614,814 LE (spanning 2022 and 2023) with prominent clients such as SODIC, Redcon, Orascom, Hassan Allam, El Hazek, Shaafar, Red Sea, Concord, CONSTEC, TALENCO, Talaat Moustafa, and others.

By effectively engaging with consultants, they have successfully secured vendor listings with Shaker, ECG, Moharram Bakhom, and Dar al Handasa, expanding their reach and market presence. Furthermore, the team's expertise has enabled them to assist consultants in specifying garbage chute requirements for new projects as a manufacturer.

In a significant accomplishment, they supported the sales team in becoming the sole supplier and installer of garbage chutes for the Alamin Towers project. As partners to main contractors such as HAC & CCC, Orascom, CRC Dorra, SIAC, and Redcon, they play a crucial role in the project's success. Their efforts resulted in the approval of our cable management systems by DAR AL HANDASA, establishing us as the exclusive supplier for cable management on China state CSCEC Alamin towers.

They are also responsible for providing detailed designs for new products like the roof access hatch, as well as introducing innovative designs for a normally closed hopper door and a new cut-off door. These designs not only help us reduce costs but also offer a wider range of choices for our clients.

NEW DEPARTMENTS & BUSINESS UNITS

UNITECH FAÇADE ENGINEERING (UFE)

UFE is a major development in Unitech, providing a growth oriented business environment and remain in the cutting edge of the building envelopes domain, assists strictly to adhere standard facade engineering set by new industries. The UFE Scope covers the Complete Façade Study and Execution Scheme:

- Comprehensive Façade Design (Structure, Glazing, Energy Efficiency, Cladding, Value Engineering, Etc...)
- Façade Structural Analysis
- Study & Proposal of Glazing Specifications
- Shop Drawings
- Fabrication Drawings
- Installation Drawings
- Execution Plans
- Site Implementation

A business unit composed of qualified members to meet the latest technology and enhance the nowadays market vision, relevant to the enormous urban development. UFE will gain the opportunity to experience the engineering work on many different projects. Adapting to work on different projects/environment and targeting the opportunity to catch the new market that already created in the concept of modern building envelop, for example:

Neom: Iconic Projects build up with Splendid Shapes
Red Sea & Amaala: High Quantities of Aluminium & Glass Projects
Riyadh Projects: Giga Malls and High Rise Buildings
New Jeddah Down Town: High Rise Buildings
Makkah & Madinah Projects: Masar, Rua Al Madinah, Madinah Gate, High Rise Buildings
Entertainment Projects (7-Many Locations, Qiddiya, etc...): High Qty. of Alum Cladding

The Expected Influence of UFE will be major on the following IKK Affiliates:

SFSP: Quantities & Typology; As Steel form more than 80% of the substructure.
IKK Glass: Glass Contribute Strongly to Building Envelop.
SAFC: Aluminium Curtain Wall, Doors, Windows, Etc...
TOSL: Selling Various Accessories For Fixation and Installation.

UFE FINANCIAL KEY PERFORMANCE INDICATOR

Studied Duration: 06 Months
Starting January 2023 to Jun 2023, not to mention the preliminary stage (6 Months)

- Nominal Tenders Value: Exceeding SAR. 1,500,000,000 with Complete Studies.
- Serious Tenders Value: Over SAR. 700,000,000
- Gained Project Value: (Almost on Hand): SAR. 120,000,000
- Collected Cash Amount: Around SAR. 29,000,000
- Expected to be On Hand soon: SAR. 350,000,000

UFE REVENUE REPORT | AS OF JUNE 2023

- Sales SAR. 5.9 Million
- Gross SAR. 3.2 Million
- Gross % 54.19
- Collection SAR. 28.1 Million
- Total A/R SAR. 1.4 Million
- Total Stocks SAR. 174,000

SPECIFIC DEVELOPMENT BY COUNTRY

SAUDI ARABIA

The construction boom in KSA's market presents both an opportunity and a challenge for Unitech. On one hand, this rapid growth offers a promising opportunity for our businesses to expand its operations and tap into a thriving market. It opens doors for increased revenue, market share, and overall business growth.

However, managing this significant surge in construction activities poses challenges that need to be addressed. The demand for resources, and materials may outpace supply, leading to potential bottlenecks and cost escalations. Additionally, ensuring quality control and adhering to strict timelines becomes crucial to deliver products successfully from our production facility amidst the heightened demand.

Product development has reached unprecedented levels as we successfully introduced a range of new products, including Crane Composites, U Guard, Power Tech for Machinery, Bostik Adhesives, Tarkett Flooring, Eternoivica, and Ecophon. To strengthen our presence and ensure brand knowledge is well-established, Rawlplug is in the process of hiring a dedicated sales person to work closely with the UNITECH sales team.

Moreover, we are focusing on new market development, specifically targeting interior and fit-out contractors. This strategic approach aims to expand our market reach and capitalize on the growing demand in these segments. By actively engaging with contractors and addressing their specific needs, we seek to establish ourselves as a reliable and preferred choice for construction solutions in these markets.

We are currently in the process of developing the Customer Relationship Management (CRM) Module to enhance our customer service and sales operations. The CRM Module will serve as a centralized platform to manage and maintain interactions with our customers, providing valuable insights and improving overall customer experience.

With this new CRM system, we aim to streamline our customer service processes, ensuring prompt and efficient responses to inquiries and concerns. It will also enable us to track and analyze customer interactions, preferences, and buying behavior, allowing us to tailor our sales strategies to better meet their needs. By implementing the CRM Module, we anticipate improved customer engagement, increased sales efficiency, and better overall customer satisfaction.

BAHRAIN

In Bahrain, we have recently updated our activities in our Commercial Registration to reflect our expansion in offerings. We are now actively engaged in providing Construction Chemicals such as PLEKO, BISON, Eagle Seal, and STI.

With these updates, we are better equipped to serve the construction industry in Bahrain, providing a comprehensive range of high-quality Construction Chemicals to meet various project requirements. By incorporating these Construction Chemicals into our portfolio, we are committed to delivering top-notch products and services, further strengthening our presence in the Bahraini market.

KUWAIT

The introduction of the new product "Crane Composite" has been met with great success in both Kuwait and Bahrain markets. The total value of materials supplied for this product has reached approximately SAR. 1 Million. This remarkable achievement highlights the strong demand and positive reception of "Crane Composite" in these regions.

The success of "Crane Composite" reflects our commitment to providing innovative and high-quality construction solutions that meet the needs of our customers.

OMAN

Following the announcement of three massive megaprojects aimed at major transformation in Oman, there have been encouraging indicators. The Ministry of Housing and Urban Planning in Oman disclosed plans for the development of these significant projects in the Dhofar, Musandam, and South Al Batinah governorates.

Up until this point, we have diligently managed our expenses, minimizing costs, and have consistently optimized our workforce through the rightsizing initiative.

All the products that are being developed in UAE are applicable to Oman as well.

SPECIFIC DEVELOPMENT BY COUNTRY

UAE

In the UAE market, we have taken a strategic approach to boost our business by focusing on non-steel items. This move involves applying increased effort and pressure to promote and sell a broader range of products beyond steel. By expanding our offerings to include a variety of non-steel items, we aim to diversify our revenue streams and enhance our market reach.

This strategic move enables us to tap into new customer segments and cater to a wider range of construction needs. By providing a comprehensive portfolio of products, we position ourselves as a one-stop solution for our clients, fostering stronger relationships and loyalty.

Through this initiative, we are confident in achieving higher revenue growth and solidifying our position as a reliable and competitive player in the UAE market. Emphasizing non-steel items allows us to capitalize on emerging opportunities, adapt to market dynamics, and ultimately drive sustainable business expansion in the region. These Non-Steel Items include the following:

- Filler Board
- Concrete Accessories
- Protection Board
- Binding Wires
- Cork Sheet & Polyethylene Sheet
- Construction Chemicals and More...

We have recently launched a new division called the "Hardware and Tools Division," dedicated to providing a comprehensive range of products to our valued customers. This division caters to a variety of essential items, including:

- DeWalt Power Tools & Accessories
- Fasteners
- Hand tools
- Safety Items
- Abrasive Discs

EGYPT

In 2022, we achieved successful product launches for three new offerings, namely NEXUS, PIXEL, and CUBIX. These introductions significantly enhanced our reputation in the Egyptian market, and we anticipate that this positive image will translate into increased sales during 2023.

We have successful launched a new showroom, a strategic move that has added substantial value to our business. The showroom's presence has allowed us to showcase our products and services more effectively, contributing to a better customer experience and heightened engagement.

Our participation in the BIG 5 Exhibition in Egypt during 2022, was met with great success, making a significant impact on our brand's recognition and reputation in the market, which we are witnessing in 2023. The exhibition provided an excellent platform for us to connect with key industry stakeholders and further solidify our position as a prominent player in the market.

We now have a well-structured technical office and a dedicated team serving Unimetal and Beta-Contech divisions. This team's expertise ensures efficient project execution, fostering customer satisfaction and contributing to the overall success of our projects.

As part of our commitment to employee development, we have successfully implemented a new employee training program. Our initial focus has been on essential skills, including time management, communication, art of delegation, and managerial skills for department heads. This investment in our employees' professional growth aligns with our mission to maintain a highly skilled and motivated workforce.

SPECIFIC DEVELOPMENT BY COUNTRY

QATAR

After the conclusion of the World Cup, we are encountering several challenges, and some of them are already evident, particularly the slowdown in construction activity. Nonetheless, we have devised a comprehensive plan to address this concern.

One of our strategies involves expediting the Product Development process, allowing us to expand our offerings for available projects. Additionally, we are placing a greater emphasis on products tailored to the Oil & Gas sector.

To navigate these challenges proactively, we have also implemented a Rightsizing initiative to reduce expenses. During 2022 and 2023, we successfully collected 1.5 million QAR from the provision amount.

These measures are geared towards bolstering our resilience and adapting to the evolving circumstances post the World Cup.

LEBANON

Our primary focus is on expanding our market share in cable management systems, particularly with HDG finish. To achieve this, we are introducing cable trays that meet the thickness standards set by IEC 61537. This strategic move positions us to outperform several competitors in the market.

Another area of concentration is the Steel Doors business, both in Lebanon and abroad, where we are working diligently to secure new orders. In this regard, we have made significant progress, with our newly introduced brand, Uniduct PVC conduits, successfully securing our first order from a client in Abidjan. In response to the current market situation, we have initiated several measures, including controlling and reducing expenses. Additionally, we have optimized our Sales team to match the prevailing slowdown, ensuring economies of scale.

Furthermore, we are proactively pursuing opportunities in Western Africa and Cyprus, aiming to secure more projects in these regions. By diversifying our efforts geographically, we strengthen our overall position and mitigate the impact of market fluctuations.

DEVELOPMENT IN OUR PRODUCTION FACILITY

SFSP FACILITIES

SFSP Factories have experienced remarkable achievements in 2022 and have ambitious plans for 2023. Throughout the past year, these factories have remained dedicated to producing high-quality consumer goods that cater to the demands of modern customers.

Their success has been evident across various aspects, including impressive sales revenue, high levels of customer satisfaction, and engaged employees. By staying attuned to market trends and embracing new technologies, SFSP Factories have managed to maintain a competitive edge over their competitors.

Looking ahead, SFSP Factories' plans for 2023 hold great promise. They are actively working towards expanding their product range and venturing into new markets. To achieve greater efficiency and sustainability in their production processes, they are investing in improving their infrastructure and technology.

A core focus lies in reducing the carbon footprint associated with their manufacturing practices and products, showcasing their commitment to eco-friendly approaches.

SFSP Factories stand out as an exemplary business that places stakeholders' interests at the forefront of their operations. Their innovative manufacturing approach and dedication to sustainability position them as industry leaders, paving the way for even more remarkable accomplishments in the future.

SFSP KSA

Our collaboration with Saint Gobain has proven highly successful, as we have become their exclusive supplier for all their metal requirements in Saudi Arabia (KSA). Our achievements have been so notable that we are now planning to expand this collaboration to encompass the United Arab Emirates (UAE) and Egypt as well.

As part of our ongoing expansion efforts, SFSP KSA is undergoing significant developments to accommodate new manufacturing capabilities. This expansion includes the production of Steel Doors, Access Panels, and Hatches (If the SFSP Egypt is not able to meet the requirements of KSA market), all under the brand name "FEROX." Additionally, we are establishing a modern Powder Coating Facility within SFSP as well.

The current progress of SFSP KSA's extension is as follows:

- There has been an increase in demand for Specialized Steel Products in the market.
- The production of Access Panels and Hatches is on to meet market demands.
- We have set up a dedicated fabrication process to cater to the production of Steel Profiles for Gyproc.
- A new Powder Coating Plant is under development at SFSP to enhance our manufacturing capabilities.

Furthermore, we have received major approvals from reputable entities, signifying our adherence to high-quality standards and industry best practices:

- National Water Company (NWC)
- Saudi Made
- Aramco - Intech/IKK (FRP Cable Management System)
- SABIC
- IKTVA

These approvals further validate our commitment to excellence and underscore our position as a reliable and trusted partner in the industry.

DEVELOPMENT IN OUR PRODUCTION FACILITY

SFSP UAE

In SFSP UAE, we have achieved significant certifications and approvals that underscore our commitment to product quality and safety:

- Nexus Fire Barrier (NFB) UL certification has been completed and successfully uploaded to our UL Portal. We are now authorized to sell our Nexus Fire Barrier (NFB) in the market.
- SFSP has obtained certification from the UAE Civil Defense (Dubai & AUH) as a manufacturer of NFB.
- All types of panels for our PIXEL - Raised Access Floor 4.5 KN have been certified according to ASTM-CISCA & EN 12825 standards.

Moving forward, we are actively developing our Steel Doors Manufacturing/Fabrication capabilities, with plans to replicate the setup in SFSP KSA and Egypt. In the pipeline, we are in the final stages of Fire Rated Exit Door Testing and certification. This will further enhance our portfolio of certified products. As part of our brand expansion, we are working on introducing accessories under our private label "FEROX," offering customers more comprehensive solutions and options.

Additionally, we have made modifications to our existing molds for Cable Tray by increasing the perforation ratio. This improvement allows us to increase scrap production while reducing zinc consumption, contributing to more sustainable practices.

Furthermore, we have incorporated a new spot welding machine, significantly accelerating the production process for the under structure of PIXEL.

To meet diverse market needs, we are actively pursuing certification of cementitious panel type 5.6KN for the Raised Access Flooring Panels.

These initiatives reflect our dedication to continuous improvement, innovation, and ensuring that our products meet the highest standards of quality and safety.

SFSP EGYPT

We have made significant progress in the construction of our new factory, with 60% of the construction already completed. The move-in process is expected to take place by the end of 2023. Our Electro Galvanizing operations commenced at the end of December 2022 and have yielded sales amounting to EGP. 102,000.

To enhance our manufacturing processes and promote sustainability, we have undertaken the replacement of the Powder Coating Spray Cabinet. This upgrade has led to waste reduction, an improved work environment, and reduced pollution. Moreover, this initiative has generated impressive revenue of EGP. 1,767,833.

Currently, our focus is on the manufacturing of NEXUS Profiles, and we are diligently studying the production of Steel Doors under the brand name "FEROX." Soon, we will incorporate Nexus Profiles' manufacturing within the facility, further strengthening our production capabilities and expanding our product offerings.

SFSP LEBANON

In 2022, we achieved impressive sales figures with a total of 1 Million USD. worth of products fabricated in SFSP Lebanon. Additionally, around 900,000 USD. worth of products were fabricated outside SFSP, including both ready products and export items.

During the same year, we intensified our focus on solar under structure solutions, and by the end of 2022, we successfully commenced the production of diesel heaters. The sales of diesel heaters began at the start of 2023.

Our strategy for 2022-2023 revolves around closely monitoring the market demand for products, both in Lebanon and beyond. We aim to align our production and offerings with the prevailing market needs to ensure maximum relevance and customer satisfaction.

In line with local demand, we are actively working on developing products that complement our solar offerings. These energy-efficient products can be coupled with solar solutions to reduce the overall cost of living for end-users.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